

EM MACRO NAVIGATOR

Weathering the Storm

- **Resilient growth:** Seven months after the start of the Iran conflict and faced with the combination of high energy prices and rising G4 bond yields, EM economies and markets continue to perform surprisingly well. In aggregate, EM growth is running slightly above potential, with stronger growth in EM Asia ex-China, LatAm, and CEEMEA offsetting weaker growth in China. While high energy prices pose a risk to future growth, strong DM final demand increases the likelihood that EM resilience will persist.
- **Quiescent inflation:** Meanwhile, EM inflation has remained surprisingly subdued despite this year's energy shock. We expect some of the factors behind this weakness to prove temporary, such as low food inflation. But others are likely to continue exerting downward pressure on inflation, including negative output gaps and strong EM FX.
- **Inflation risk looks overpriced:** While the outlook for energy prices remains uncertain, we believe markets have overestimated the risks to inflation and policy rates across most EM economies because (1) the pre-shock inflation backdrop was very weak across most EMs, reducing the need for tighter policy in response to the energy shock; (2) negative output gaps imply limited domestically generated inflation pressure; and (3) EM exchange rates have remained stable, supported by healthy external balances.

Recommended Trades and Conviction Views

- **Rates:** Receive Hungary 5y and Korea 2y; Poland 2s10s steepener
- **FX:** Long INR/IDR, MYR/THB; short SGD/CNH, SGD/MYR, USD/EGP, PLN/HUF
- **Equities:** Overweight Brazil, SA, Greece, Hungary, China A, Korea

Andrew Tilton

+852-2978-1802 |
andrew.tilton@gs.com
Goldman Sachs (Asia) L.L.C.

Kamakshya Trivedi

+44(20)7051-4005 |
kamakshya.trivedi@gs.com
Goldman Sachs International

Kevin Daly

+44(20)7774-5908 | kevin.daly@gs.com
Goldman Sachs International

Clemens Grafe

+44(20)7774-3435 |
clemens.grafe@gs.com
Goldman Sachs International

Sunil Koul

+44(20)7051-4931 | sunil.koul@gs.com
Goldman Sachs International

Goohoon Kwon, CFA

+852-2978-0048 |
goohoon.kwon@gs.com
Goldman Sachs (Asia) L.L.C.

Andrew Matheny

+44(20)7051-6069 |
andrew.matheny@gs.com
Goldman Sachs International

Alberto Ramos

+1(212)357-5768 |
alberto.amos@gs.com
Goldman Sachs & Co. LLC

Santanu Sengupta

+91(22)6616-9042 |
santanu.sengupta@gs.com
Goldman Sachs India SPL

Hui Shan

+852-2978-6634 | hui.shan@gs.com
Goldman Sachs (Asia) L.L.C.

Farouk Soussa

+44(20)7051-9349 |
farouk.soussa@gs.com
Goldman Sachs International

Danny Suwanapruti

+65-6889-1987 |
danny.suwanapruti@gs.com
Goldman Sachs (Singapore) Pte

Alessa Abraham

+44(20)7774-8042 |
alessa.abraham@gs.com
Goldman Sachs International

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Weathering the Storm

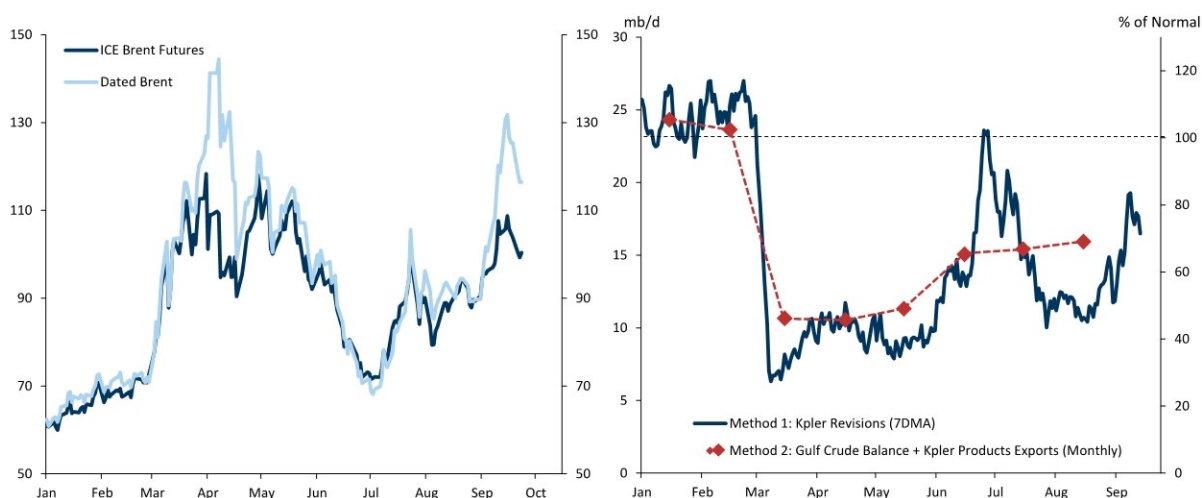
In this *EM Macro Navigator*, we update our views on the EM macro outlook, focusing on inflation and monetary policy amid renewed energy price volatility and the rise in G4 bond yields. Seven months after the start of the Iran conflict, EM growth, inflation, and markets have all performed remarkably well in the face of significant challenges. And while the inflation risks from higher energy costs are undeniable, we argue that, for most EM economies, fixed income markets are pricing in too much monetary tightening over the next 1–2 years.

Two Challenges: Higher Energy Prices and Higher G4 Yields

As the final quarter of 2026 approaches, EM economies face two key headwinds: renewed energy price increases and higher G4 bond yields. Historically, both have posed significant challenges for EM economies and markets.

High and volatile energy prices: After falling to \$70/bbl in late June following the signing of the US-Iran MoU, crude oil prices subsequently rebounded as the agreement broke down and the risk of broader hostilities increased ([Exhibit 1](#) (LHS)). The increase in oil prices would likely have been larger without the surprising flexibility of both oil supply and demand. Middle East oil exports have recovered to around 70–80% of prewar volumes despite the partial closure of the Strait of Hormuz. In addition, China has reduced its imports in response to higher prices, helping to stabilise the demand-supply balance in the global oil market.

Exhibit 1: Crude Oil Prices Have Been High and Volatile; Persian Gulf Oil Exports Are Running at 70–80% of Pre-War Levels
ICE Brent Futures and Dated Brent (LHS); Estimated oil exports from Persian Gulf (RHS)



Oil includes crude, refined products, and LPG. For Kpler flows as currently reported and assuming no revisions, Persian Gulf exports are defined as the sum of flows through the Strait of Hormuz, Yanbu, Fujairah, Gulf of Oman, and Botas Ceyhan. For revisions, crude balance, and Kpler products exports, Persian Gulf exports are defined as the sum of exports from Saudi Arabia, UAE, Iran, Iraq, Qatar, and Kuwait.

Source: Bloomberg, OPEC Secondary Sources, IEA, Kpler, PetroLogistics, Goldman Sachs Global Investment Research

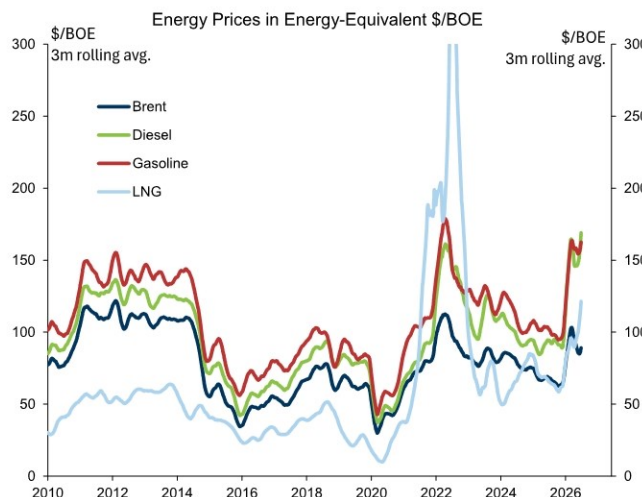
Nevertheless, the remaining supply shortfall continues to draw down global oil inventories, creating a risk that crude prices rise much further if Gulf crude supply remains curtailed. Moreover, given reduced refining capacity in both the Gulf and Russia, refined product prices – both diesel and gasoline – have risen significantly more than crude ([Exhibit 2](#)).

Higher G4 bond yields: In addition to higher energy prices, EM markets have had to digest a significant increase in G4 bond yields—a development that, in the past, would typically have been associated with an even larger selloff in EM bonds. That has not been the experience so far, with EM local yields continuing to converge with G4 yields (Exhibit 3).

One reason EM yields have risen by less is that some of the factors driving the increase in G4 yields are specific to those markets, including concerns over fiscal policy and a significant reassessment of the outlook for Japanese monetary policy. Others are more global, including increased investment spending on AI and the related rise in growth expectations, which is raising the cost of capital for everyone. Ultimately, the implications for EM markets will depend heavily on the USD's response to these cross-currents. So far, the Dollar has been weak relative to most EM currencies, limiting the follow-through from higher G4 yields.

Exhibit 2: Refined Product Prices (Diesel and Gasoline) Have Increased More than Crude

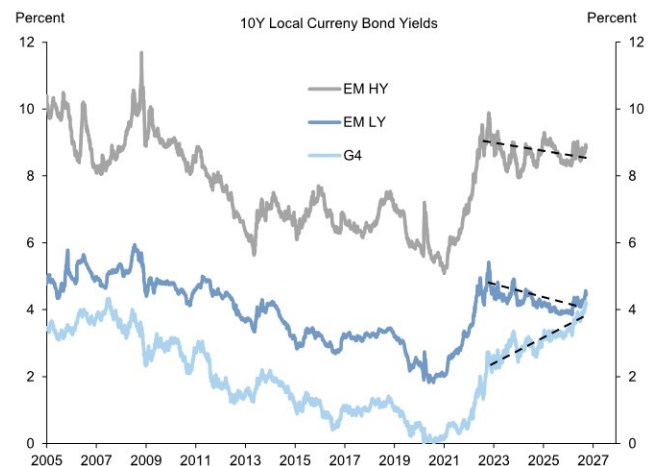
Energy prices in barrel-equivalent of crude (\$/BOE); 3m rolling average



Source: Bloomberg, Goldman Sachs Global Investment Research

Exhibit 3: EM Local Yields Have Trended Lower Since the Pandemic, Despite the Rise in G4 Yields

10Y Local Currency Bond Yields (%); Includes 18 EMs and 4 DMs (Based on Simple Average)



Source: Bloomberg, Goldman Sachs Global Investment Research

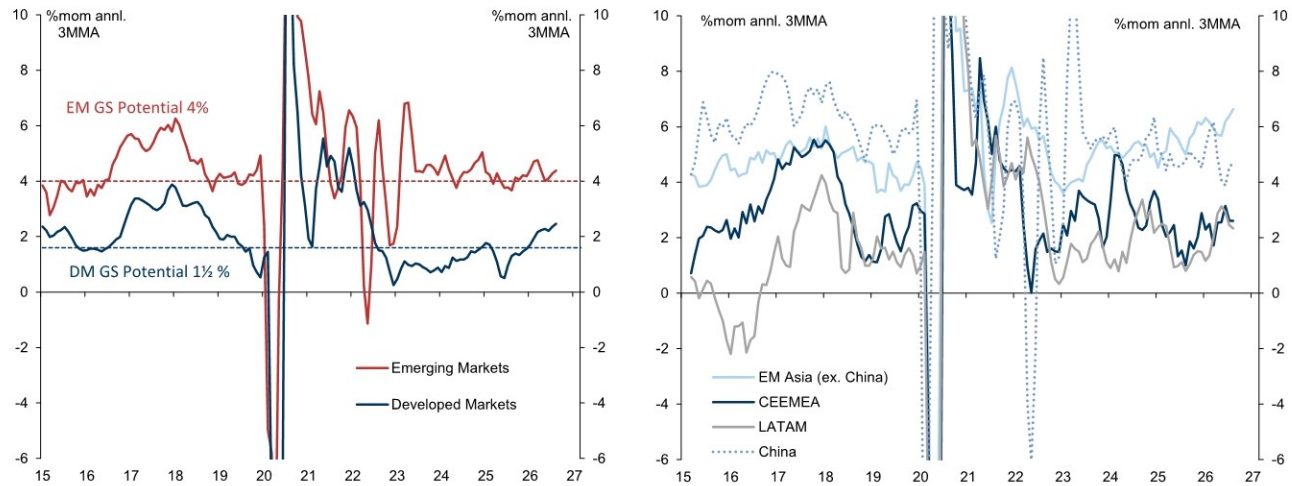
Resilient Growth

In the face of these challenges, EM growth remains solid. In aggregate, emerging markets are expanding slightly above potential, though regional potential growth rates differ markedly, with EM Asia well ahead of LatAm and CEEMEA. On a sequential basis, growth has strengthened in EM Asia ex-China, LatAm, and CEEMEA, offsetting weaker growth relative to potential in China (Exhibit 4).

The most striking performance, however, has been in developed markets, where growth has accelerated to its fastest pace since the post-pandemic recovery and now stands well above our estimate of potential. This may point to a greater need for tighter policy in DMs than in EMs, while strong DM final demand also increases the likelihood that EM growth remains resilient.

Exhibit 4: Resilient Growth – EM Growth Slightly Above Potential, Driven by a Broad-Based Increase

GS Current Activity Indicators (CAI), USD-weighted, 3-month moving average



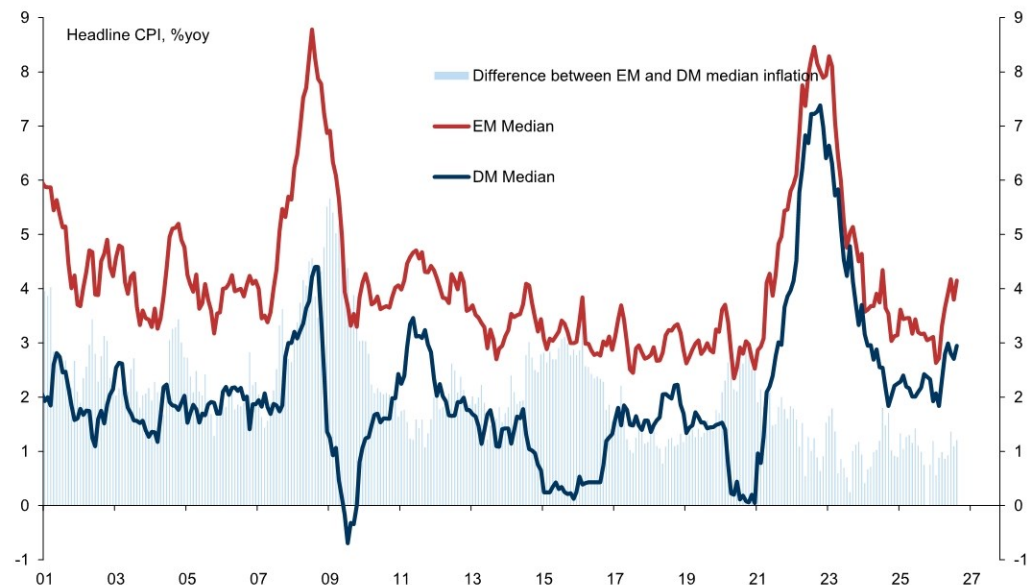
Source: Goldman Sachs Global Investment Research

Quiescent Inflation

Meanwhile, EM headline inflation has remained surprisingly contained despite the rise in energy prices since the start of the year. Earlier concerns that the war in Iran would trigger a 2021/22-style inflation shock now look well wide of the mark ([Exhibit 5](#)).

Exhibit 5: Contained EM Inflation – Inflation Across EM Economies Has Risen Much Less than Feared

Medians are based on the 28 EM and 15 DM economies in our forecast coverage

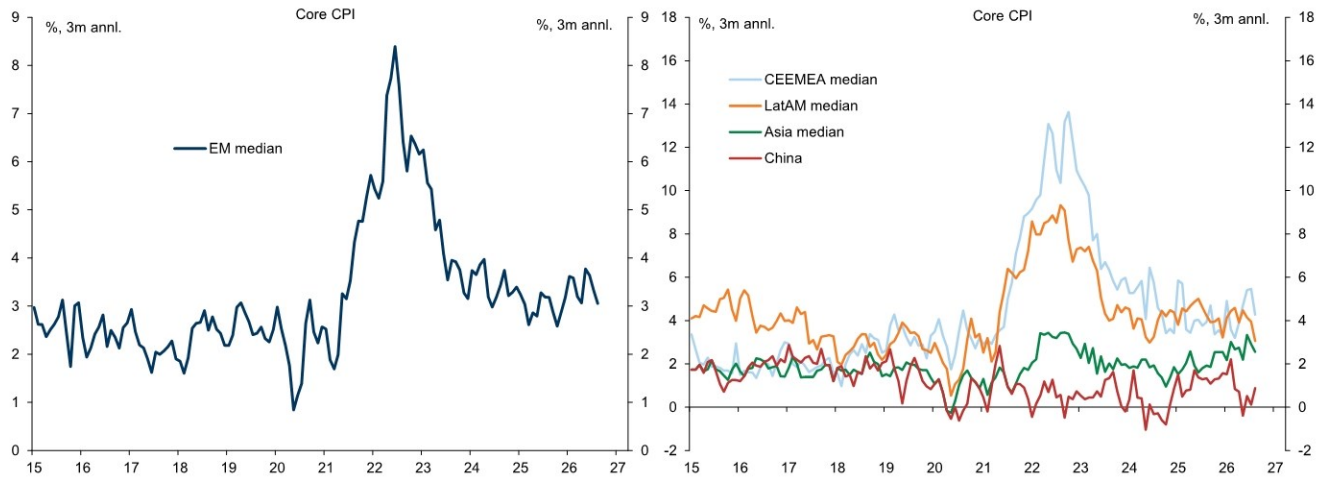


Source: Haver Analytics, Goldman Sachs Global Investment Research

Core inflation across EM economies also remains relatively contained, though median core inflation is somewhat above its pre-2021/22 shock level, as is also the case in developed economies. Underlying inflation is softer in EM Asia than in LatAm and CEEMEA, and is particularly weak in China ([Exhibit 6](#)).

Exhibit 6: EM Core Inflation is Also Reasonably Contained

Median Core CPI (% 3m annl.); Based on 23 EMs in Our Coverage



Source: Haver Analytics, Goldman Sachs Global Investment Research

Explaining the Limited Impact on EM Inflation (To Date)

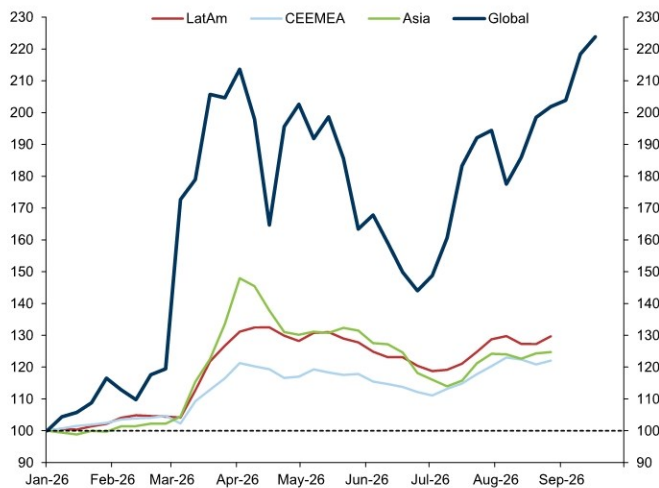
There are a variety of reasons why EM inflation has remained contained in the face of this year's energy shock, many of which we discussed in the [previous EM Navigator](#). Some of these may prove temporary but, in our view, the most important drivers are more structural and likely to persist.

1. Government action has limited pass-through to pump prices: Retail fuel prices in EM economies have risen less than wholesale prices, as fuel subsidies, taxes, and regulated retail prices have dampened pass-through ([Exhibit 7](#)). This is not unusual – retail prices typically move much less than wholesale prices. But government intervention has been particularly forceful in response to this year's oil price increase, especially across Asian EMs, including India, Malaysia, Indonesia, China, and Korea.

2. Weak food inflation: Perhaps the most surprising reason EM inflation has stayed relatively contained since the start of the war is that the boost from higher energy inflation has been partially offset by unusually weak food inflation ([Exhibit 8](#)). This has been surprising because, at the start of the war, many expected higher fertilizer prices and a strong El Niño to push food inflation higher. While we still expect these factors to lift food inflation in the future, their effects have so far been offset by relatively abundant agricultural supply in the first half of the year.

Exhibit 7: Domestic Prices at the Pump Have Not Risen as Much as Global Wholesale Prices

Average Gasoline/Diesel Retail Price by Region (January 2 = 100)

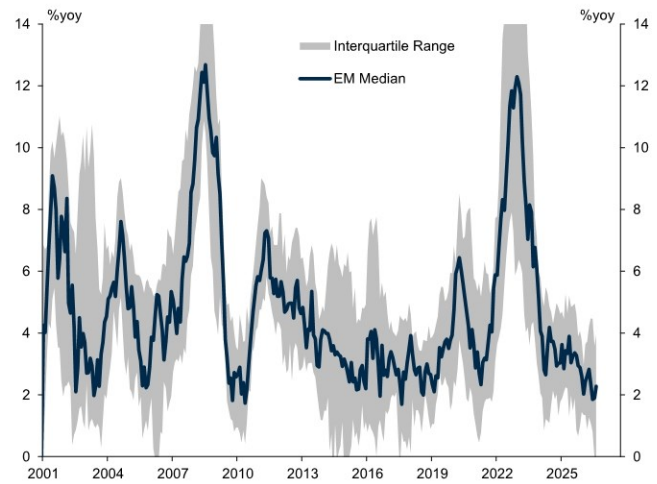


LatAm aggregate includes data interpolated using monthly fuel inflation for Mexico and Colombia.

Source: Bloomberg, Haver Analytics, Goldman Sachs Global Investment Research

Exhibit 8: EM Food Inflation Has Been Unusually Weak

Median Food Inflation in 18 EM Economies



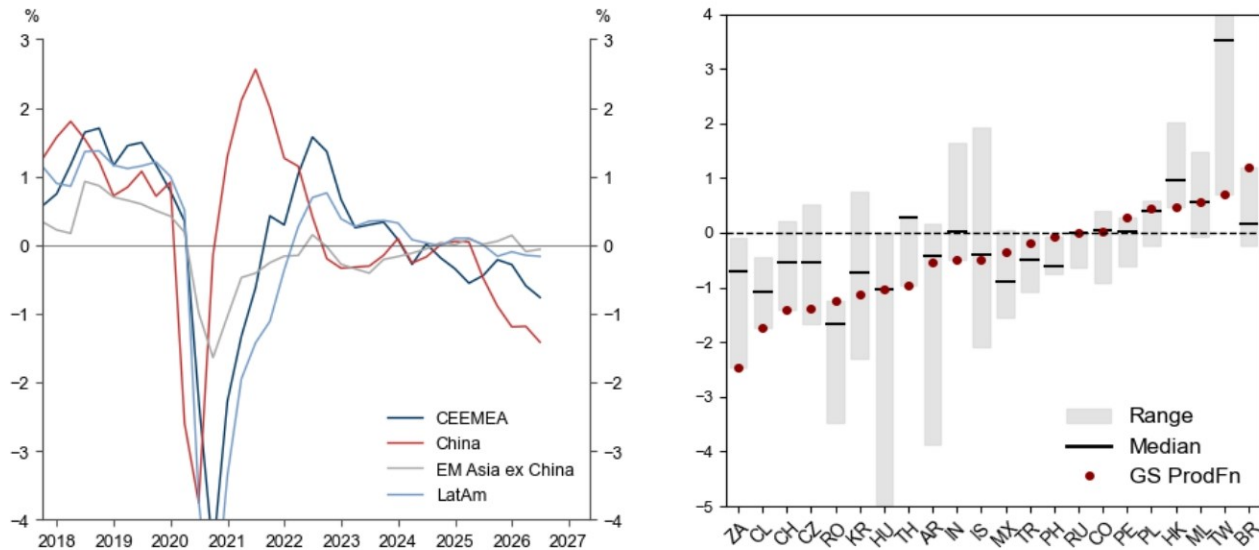
Source: Haver Analytics, Goldman Sachs Global Investment Research

3. Negative output gaps: We estimate that most EM economies continue to operate with negative output gaps, implying limited domestically generated inflation pressure ([Exhibit 9](#)). If growth remains above potential, these gaps should close over time. For now, however, they continue to weigh on inflation.

4. Strong EM FX: EM currencies appreciated substantially last year and have remained relatively resilient since the start of the Iran conflict. Their outperformance amid heightened global volatility and rising G4 bond yields is unusual and likely reflects, among other factors, relatively healthy EM external balances and the DM-specific nature of many current global risks ([Exhibit 10](#)).

Exhibit 9: Negative Output Gap Across EM Regions

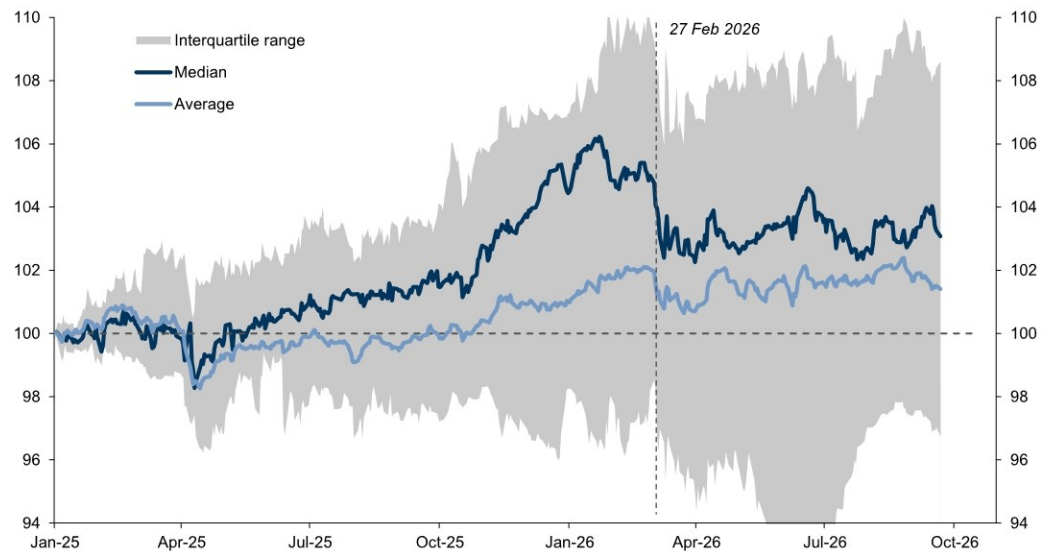
GS Estimates of Output Gap (LHS); Output Gaps as % of GDP. Economies are ranked by GS production function measure (RHS)



Source: Goldman Sachs Global Investment Research, Haver Analytics

Exhibit 10: EM FX Has Performed Strongly Since Beginning of 2025

Median and Average EM Nominal Effective Exchange Rate (January 2025 = 100); Interquartile Range



Source: Goldman Sachs Global Investment Research, Haver Analytics

Inflation Risk Looks Overpriced

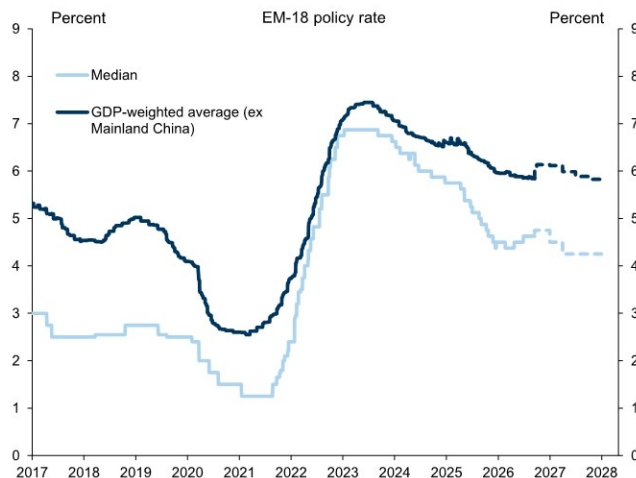
The outlook for energy prices remains highly uncertain. Our commodities team expects Brent to decline to \$85/bbl by year end, but with no clear path to a full reopening of the Strait of Hormuz, the risk of another increase in prices is clear.

Our stronger conviction is that, conditional on the rise in energy prices that has already taken place, markets have overestimated the risks to inflation and policy rates across most EM economies. Rate markets are currently pricing significant tightening across

EMs, with few exceptions – most notably Brazil and Turkey, where rates are expected to decline slightly from high levels. In our view, this pessimism on inflation and the need for higher rates is overdone for a combination of reasons: (1) the pre-shock inflation backdrop was exceptionally weak across most EMs, reducing the need for tighter policy in response to the energy shock; (2) negative output gaps imply limited domestically generated inflation pressure; and (3) EM exchange rates have remained stable, supported by healthy external balances.

We were in a similar position at the start of the Iran war in March, when markets priced in significant tightening in response to energy price risks. Since then, several EM central banks have actually eased policy further, while rates have risen by less than expected elsewhere. While there is no guarantee that the same will happen this time around, we think rate markets are once again pricing too much tightening and that, contrary to market expectations, central banks are more likely to resume easing in 2027 ([Exhibit 11](#) and [Exhibit 12](#)).

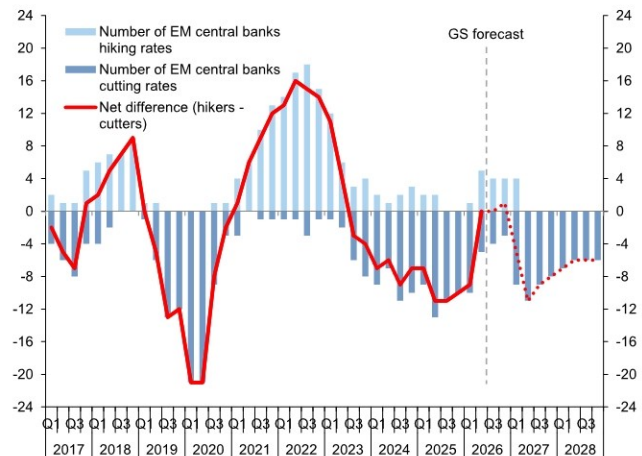
Exhibit 11: We Expect the Median EM Policy Rate to Edge Up in the Short Term before Declining in 2027



Source: Bloomberg, Goldman Sachs Global Investment Research

Exhibit 12: We Have Delayed Our Expectations For Policy Easing in EM to Mid-2027

Includes 23 EMs in our coverage



Source: Goldman Sachs Global Investment Research, Haver Analytics

EM Markets: Navigating Energy Volatility and Higher G4 Rates

We recently outlined our views on EM assets in [this EM Trader](#):

- **EM local rates – energy still dominates:** EM local rates remain exposed to energy price volatility as well as pressure from core rates. In our view, broad-based relief in EM rates depends on lower energy prices; absent that, hike premia are likely to remain embedded in curves, even though EM inflation and central banks have been more dovish than expected. We therefore remain cautious on outright longs outside select high-yielders such as HUF and BRL, where policy developments linked to Euro area convergence in Hungary and elections in Brazil could support rallies into year-end.
- **EM equities – broad index remains resilient:** Despite clear headwinds from rising bond yields and elevated energy prices, EM equities have remained notably resilient

at the aggregate index level. We expect further gains into year-end, supported by solid earnings momentum, although near-term risk appetite may stay muted amid rate and energy volatility. In particular, any prolonged flow disruptions that push natural gas prices higher could leave CEE equities vulnerable this winter, given their high sensitivity to gas prices.

- **Long frontier FX:** We remain bullish on frontier FX, reflecting attractive carry and its relative orthogonality to an uncertain global backdrop. We continue to be most positive on EGP, KZT, and NGN.

Kevin Daly, Alessa Abraham and Alberto Zanettin*

* Alberto is an intern in the CEEMEA economics group.

Summary of GS EM Forecasts and Market Views

We summarize our latest views by region below. The tables on pages 13–14 review our growth, inflation, policy rate, and FX forecasts, and page 15 summarizes our conviction market views by region and asset class.

China's economy remains bifurcated, with strong export performance but sluggish domestic demand. We expect exports to post solid growth through 2026 and beyond given large cost advantages, an undervalued currency, and what we anticipate to be only moderate/gradual increases in foreign trade barriers. Years of policy emphasis on “self-reliance”—including development of renewables/nuclear energy and a large strategic oil stockpile—alongside China's large domestic coal endowment reduced the short-term sensitivity to the energy shock. Slower government spending growth contributed to a meaningful tightening of our estimated “augmented fiscal deficit” in recent months. While policy rhetoric suggests faster implementation of spending, there is not yet clear evidence of this on the ground. Meanwhile, housing sales, construction, and prices continue to move lower in the 6th year of China's housing bust, pressuring local government finances. Infrastructure investment growth has also softened, although we think the reported data may exaggerate the recent weakness. PPI and CPI inflation remain subdued in an international context (+3.8% yoy and +0.8% yoy respectively). We think the CNY can continue to grind stronger against the USD—at a low/mid-single-digit annual pace—amid ongoing China export success and a likely weaker broad USD. Little was expected—or delivered—on the policy front from the Trump–Xi summit in Washington.

EM Asia economies are experiencing widely divergent conditions, reflecting in large part their relative exposures to the AI investment boom and Middle East energy shock. South Korea and Taiwan continue to boast surging tech exports, record current account surpluses, and windfall tax revenue gains that could help support domestic activity into 2027. We have revised up our growth forecasts for these tech exporters in recent months—Taiwan is likely to report real GDP growth in excess of 11% this year, with more than 7pp of this from blowout tech goods exports. By contrast, India and several Southeast Asian economies run current account deficits, face weakening currencies, rising inflation (and/or much higher energy subsidy costs), and higher yields across the curve. In these economies, our growth views have been mixed to lower since the beginning of the year. Inflation has picked up but more modestly than in 2021–22, and is still broadly on target in many regional economies, though above target in a few (notably the Philippines). Central banks have tightened in much of the region, and we expect scattered rate hikes in coming months in Korea, India, Indonesia, and the Philippines.

Developments in the Middle East remain the main source of volatility for **CEEMEA** markets. Shipping through the Strait of Hormuz is still severely curtailed, a disruption that has now persisted for seven months. Given the scale and duration of the constraint on oil supply, the increase in oil prices has been surprisingly limited so far. But with little prospect of a near-term resolution, we have limited conviction on the likely path for energy prices going forward.

Our stronger conviction is that, conditional on the rise in energy prices already seen, markets have overestimated the risks to inflation and interest rates across CEEMEA. We hold this view for a combination of reasons: (1) the pre-shock inflation backdrop was

exceptionally weak; (2) output gaps in CEEMEA are mostly still negative, implying spare capacity; (3) exchange rates have remained stable, supported by high policy rates and healthy external balances; and (4) CEEMEA policy rates were already above neutral before the conflict. Remarkably, nearly half of the CEEMEA central banks we cover have moved beyond a “wait and see” stance and cut policy rates since the war began, while rates have risen by less than expected elsewhere. With inflation dynamics still subdued, we remain relatively dovish on rates across most of the region, especially in the CEE-3 and South Africa.

While inflation has remained contained since the Iran war began, high-frequency indicators suggest CEEMEA growth has picked up in the past six months. Even so, after weak Q1 GDP data, our 2026 growth forecasts remain below both potential and consensus, ahead of an expected recovery in 2027.

Higher energy prices and dollar yields, FOMC rate hikes, and the prospect of a strong *El Niño* could unsettle the **LatAm** macro dynamics in the coming months, increasing upside risks to inflation and downside risks to activity. Real GDP growth is likely to remain subdued and we have revised down our forecast in recent weeks (-20bp to 1.8%) driven by weak real activity dynamics in Argentina, Brazil, and Chile. Peru is the only economy where we expect growth to exceed 3% in 2026.

LA-IT5 inflation remains contained despite the oil shock, though still elevated with both headline and core tracking slightly above 4%. Services inflation remains high and sticky across LatAm, running at 5.4% yoy versus 4.3% a year ago. For the LA-IT5 economies, CPI inflation is set to rise to 4.8% in 2026 from 4.0% in 2025, with headline inflation accelerating across all five economies. For the LA7 economies, we forecast inflation at 7.8% in 2027, up from 7.2% in 2025, with Argentina near 30%. Looking ahead, the burden of disinflation in 2026 will likely fall on services, given historically low tradables inflation at 2.9%. In Brazil, we see limited policy space for easing given the challenging inflation outlook and positive output gap with room for more substantial cuts conditional on post-election market-positive consistent signals on fiscal policy. In Mexico, we expect the MPC to remain on hold at 6.5% for the foreseeable future, with a high bar for rate hikes despite rising US yields. In Peru, we expect at least one 25bp rate hike before the end of the year and in Colombia we expect the central bank to keep the policy rate at a restrictive 12% for a while longer (high for long), with short-term risk skewed towards additional hikes.

After narrow runoff victories by right-wing conservative candidates in Colombia and Peru's presidential elections, market attention is turning to Brazil's pivotal highly competitive October election. In Venezuela, the outlook remains fluid and highly uncertain.

GS Growth, Inflation, and Policy Rate Forecasts

		Growth (Real GDP)*			Inflation (CPI)*			Policy Interest Rate^		
		Latest	GS 2026	Cons 2026	Latest	GS 2026	Cons 2026	Latest	GS End-26	Cons End-26
Latam	Mexico	2.1	1.4	1.3	3.3	3.7	3.8	6.50	6.50	6.51
	Colombia	3.5	2.5	2.5	6.2	5.9	5.9	12.00	12.00	11.98
	Peru	2.6	3.2	3.0	4.4	3.7	3.7	4.25	4.50	4.41
	Chile	-0.2	0.6	1.3	4.1	3.7	3.6	4.50	4.50	4.52
	Brazil	2.0	2.0	2.0	4.2	4.5	4.6	14.25	13.75	13.59
	Argentina	2.0	1.8	3.0	33.5	32.3	32.4	-		22.50
CEEMEA	Poland	3.6	3.6	3.5	3.3	3.1	3.1	3.75	3.75	3.78
	Czech Rep.	1.9	2.0	2.1	1.9	2.1	2.0	3.75	3.75	3.82
	Hungary	1.7	2.0	1.8	1.3	1.6	1.9	5.75	5.00	5.04
	Romania	-1.9	-0.9	-0.5	6.2	8.2	8.2	6.50	6.50	6.48
	Russia	1.3	0.2	0.7	6.3	6.0	6.0	14.00	13.50	13.45
	Ukraine	0.4	0.5	1.5	8.1	7.8	8.1	15.00	16.00	15.47
	Turkey	2.3	2.7	2.8	31.5	31.0	31.0	37.00	37.00	35.63
	South Africa	0.9	1.2	1.2	4.2	4.3	4.2	7.00	7.25	7.10
	Israel	7.0	3.1	3.4	1.5	1.9	1.9	3.50	3.00	3.12
Emerging Asia	China	4.3	4.5	4.6	0.8	1.0	1.0	1.40	1.40	-
	Korea	3.7	3.2	3.4	3.1	2.6	2.7	2.75	3.00	3.18
	Taiwan	12.9	11.1	11.0	2.0	2.0	2.0	2.00	2.00	2.10
	Vietnam	8.4	7.8	8.0	4.9	4.6	4.6	4.50	4.50	4.87
	Thailand	1.9	1.8	2.2	2.5	2.0	2.0	1.00	1.00	1.05
	Malaysia	6.0	5.2	5.1	1.9	2.0	2.0	2.75	2.75	2.82
	India	7.8	7.6	6.7	4.8	4.5	4.4	5.25	5.50	5.47
	Indonesia	5.3	5.1	5.2	3.2	3.3	3.4	5.75	6.00	5.92
	Philippines	2.3	3.3	3.2	6.1	5.2	5.6	4.75	5.50	5.25
G3	US	2.7	2.2	2.1	3.5	3.2	3.3	3.63	4.13	4.02
	Euro Area	0.5	0.9	0.9	2.8	3.0	2.9	2.25	2.75	2.68
	Japan	0.3	0.9	0.8	1.7	1.8	1.9	1.00	1.25	1.31

*The latest growth/inflation figures refer to the yoy growth of the latest quarter/month available; Annual average data are used for GS forecasts and consensus

^End of year forecasts and consensus for policy rates:

LATAM: Mexico: TdF bancario; Colombia: Overnight target rate; Peru: Central bank reference rate; Chile: Overnight target rate; Brazil: SELIC target rate;

CEEMEA: Poland: 7-day intervention rate; Czech Rep.: 2-week limit repo rate; Hungary: 2-week repo rate; Romania: one week repo rate;

Russia: CBR 1-week repo rate; Ukraine: Discount rate; Turkey: one week repo rate;

South Africa: Repo avg rate; Israel: discount rate;

AEJ: China: 7-day OMO rate; Korea: 7-day repo; Taiwan: rediscount rate; Thailand: 1-day repo; Vietnam: refinancing rate;

Malaysia: overnight policy rate; India: repo rate; Indonesia: 7-day reverse repo rate; Philippines: repo rate.

G3: US: Federal Funds Target Rate; Euro Area: ECB deposit facility rate; Japan: Policy deposit rate.

Red shading indicates GS forecast meaningfully above consensus, blue shading indicates below.

Source: Goldman Sachs Global Investment Research, Bloomberg, Consensus Economics

GS Exchange Rate Forecasts

		FX (against USD*)									GSDEER	GSFEER	
		Spot 23-Sep	GS 3-month		Forward 3-month	GS 6-month		Forward 6-month	GS 12-month				Forward 12-month
Latam	Mexico	17.5	16.8	▼	17.8	17.0	▼	18.0	17.3	▼	18.2	20.2	17.2
	Colombia	3276	3350	▼	3407	3300	▼	3471	3200	▼	3608	3682	3827
	Peru	3.39	3.40		3.42	3.35		3.43	3.30		3.45	2.91	2.98
	Chile	962	920		962	900		960	860		958	678	868
	Brazil	5.17	5.20	▲	5.28	5.10	▲	5.37	5.00		5.56	4.35	5.50
	Argentina	1516.0	1500.0		1602.5	1600.0		1688.0	1800.0		1899.5	--	--
CEEMEA	Poland (v EUR)	4.37	4.30		4.40	4.25		4.42	4.25		4.45	4.82	4.49
	Czech Rep. (v EUR)	24.4	24.5		24.5	24.4		24.5	24.2		24.7	30.6	25.5
	Hungary (v EUR)	365	355		369	350		371	345		375	394	397
	Romania (v EUR)	5.27	5.15		5.34	5.18		5.39	5.25		5.47	--	6.21
	Russia	84.6	80.0		87.3	85.0		89.7	90.0		94.6	79.4	78.6
	Ukraine	44.90	46.0	▲	46.0	48.0	▲	47.2	52.0	▲	49.7	--	--
	Turkey	48.83	51.00	▲	52.79	53.00	▲	56.61	59.00	▲	65.77	35.01	51.10
	South Africa	16.4	16.5		16.6	16.0		16.7	15.8		16.9	13.1	17.1
	Israel	3.03	3.00		3.03	3.05		3.02	3.10		2.98	3.75	3.31
Asia ex-Japan	China	6.76	6.70	▼	6.70	6.60	▼	6.65	6.40	▼	6.54	5.06	6.03
	Korea	1358	1390	▼	1366	1370	▼	1363	1350	▼	1357	1119	1054
	Taiwan	31.7	31.5		31.9	31.3	▲	31.8	31.0	▲	31.8	24.9	24.6
	Thailand	33.4	33.5	▼	33.4	33.0	▼	33.3	33.0		32.9	32.8	36.4
	Malaysia	4.08	4.00	▲	4.08	3.95	▲	4.07	3.90	▲	4.05	3.28	4.18
	India	95.9	96.0	▼	96.9	97.0	▲	97.7	97.0	▲	99.3	87.1	90.7
	Indonesia	17854	18200	▲	18059	18300	▲	18138	18500	▲	18271	14405	16868
	Philippines	62.7	62.0		63.1	61.0		63.3	61.0		63.8	60.9	65.0
G3	Euro Area	0.88	0.88		0.88	0.89	▲	0.87	0.89	▲	0.87	0.85	0.88
	Japan	158.0	158	▼	158	155	▼	156	150	▼	154	97.0	132

* Poland, Czech Republic, Hungary, and Romania are expressed vs EUR.

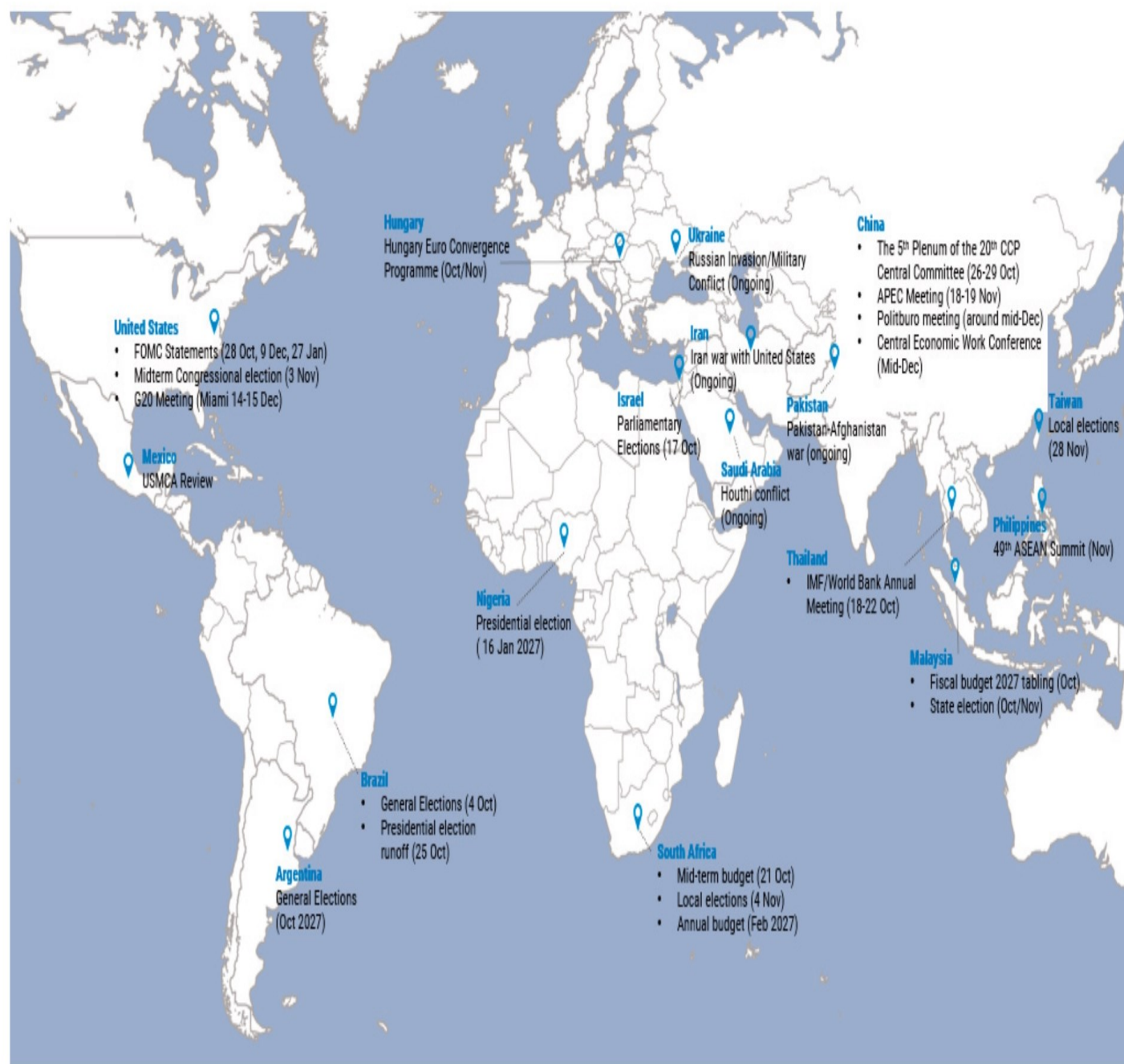
Up triangles indicate upward adjustments in GS forecasts since the last publication and vice versa (excluding changes below 5bp).

Source: Goldman Sachs Global Investment Research, Bloomberg

GS Conviction Views in Emerging Markets*

	Rates	FX	Equities	Sovereign Credit
LatAm			<u>Overweight Brazil</u>	<u>Prefer long-end bonds in Colombia</u> <u>Underweight the Dominican Republic</u> <u>Underweight LatAm IG oil importers</u>
CEEMEA	<u>Receive 5Y HUF IRS</u> <u>2s10s PLN IRS steepeners</u>	<u>Long TRY, NGN, and KZT</u> <u>against the USD</u> <u>Short USD/EGP</u> <u>Short PLN/HUF</u>	<u>Overweight South Africa, Greece, and Hungary</u> <u>Long in equal weight BUX Index and ASE Index vs. short PX Index</u> <u>Stay long MXMU Energy vs. Industrials</u>	<u>Overweight Kazakhstan, Saudi Arabia, Egypt, and Nigeria</u> <u>Underweight Bahrain, Jordan and Kenya</u> <u>Overweight Egypt and Nigeria</u> <u>Prefer long-end bonds in Hungary</u>
China			<u>Overweight A (domestic) shares</u> <u>Themes: 15th FYP beneficiaries, Going Global Leaders, Growth Portfolio, AI, HALO</u>	
EM Asia ex-China	<u>Receive 2Y KRW IRS</u>	<u>Long INR/IDR</u> <u>Short SGD/MYR</u> <u>Short SGD/CNH</u> <u>Stay long MYR/THB</u>	<u>Overweight North Asia</u> <u>Sectors: tech hardware, capital goods, banks, and healthcare</u> <u>Themes: AI hardware supply chain, defense, HALO and shareholder returns</u> <u>Go long NIFTY Banks vs. short NIFTY Pharma</u>	
G3/Global	<u>Pay CHF 1y1y against EUR 1y1y</u> <u>Long 3y SOFR swap spread</u> <u>Pay 5s on the 2s5s10s fly JGB</u> <u>Stay short 3m30y straddles on a delta-hedged basis</u>	<u>Short EUR/AUD</u> <u>Stay short AUD/NZD, via 6m 1.1650 puts</u>		

Key upcoming events for EM investors



Source: Compiled by Goldman Sachs Global Investment Research

The EM Bookshelf: Recent GS EM Macro Research



EM/Global

- [Where in the World Is There Still an Inflation Problem?](#), *Global Economics Analyst* (Sep 22)
- [Lower Inflation, Limited Hikes](#), *Global Views* (Sep 22)
- [Is AI Impacting Global Labor Markets?](#), *Global Economics Comment* (Aug 19)
- [What Has the World Learned About Central Bank Communication?](#), *Global Economics Analyst* (Aug 14)
- [The IMF's External Sector Report — Global Imbalances Continue to Rise](#), *EM In Focus* (Aug 11)
- [Assessing the Current Pace of AI Investment](#), *Global Economics Analyst* (Aug 02)
- [EM Output Gaps — Significant Room to Grow, But Mixed Picture](#), *EM In Focus* (Jul 30)

China

- [Path of Least Resistance](#), *China Matters* (Sep 20)
- [China: Gauging the Impact of Government Bond Supply on Bond Yields](#), *Asia In Focus* (Sep 13)
- [China: Property Downturn Keeps Straining Local Government Finances](#), *Asia In Focus* (Sep 06)
- [Why Beijing may favor gradual RMB appreciation](#), *Asia In Focus* (Sep 02)
- [China's Broad-Based Export Strength to Persist Despite Limited AI Boost](#), *Asia Economics Analyst* (Aug 23)
- [China Retail Sales: Policy Tailwinds Fade, H2 Growth Likely Remains Low](#), *Asia In Focus* (Aug 14)
- [A Historic Opportunity for RMB Bond Internationalization?](#), *Asia Economics Analyst* (Aug 09)
- [China H2 Fiscal Outlook: Reversing the Tightening](#), *Asia In Focus* (Jul 31)



Cross-asset

- [CEE-ing through the Vol](#), *The EM Trader* (Sep 17)
- [School's Back, More Upside Ahead](#), *The EM Trader* (Sep 03)
- [Same Macro, Different Marks](#), *Global Market Views* (Aug 10)
- [Curves, Chips, Crude and Carry](#), *The EM Trader* (Jul 30)

Rates/FX

- [Brazilian Real \(BRL\) — Navigating the Election](#), *Global Markets Daily* (Sep 23)
- [Dollar Drift](#), *Global FX Trader* (Sep 18)
- [Positioning for Higher Energy, Elevated Core Yields and Further AI Investment](#), *EM Asia FX/Rates Views* (Sep 18)
- [High Energy Carrying Returns in EM Frontier — KZT and NGN Stocktake](#), *Global Markets Daily* (Sep 17)
- [AI Haves vs. Have-Nots Drive Divergence in Asian FX](#), *Global Markets Daily* (Sep 01)
- [Finding Factors in FX Markets](#), *Global Markets Analyst* (Aug 17)
- [EM Rates — Pull from Home, Push from Abroad](#), *Global Markets Analyst* (Aug 14)
- [HUF Stocktake — Energy Vol Now, Domestic Drivers Later](#), *Global Markets Daily* (Aug 05)
- [China's Balancing Act Needs a Stronger Yuan and Stronger Demand](#), *Global Markets Daily* (Aug 05)

**LatAm**

- [Low Growth Gear, High Inflation Inertia, LATAM Views](#) (Sep 04)
- [Argentina: Growth Has Narrowed Toward Exports but Away from Jobs, Latin America Economics Analyst](#) (Aug 28)

CEEMEA

- [Headline and Core Inflation Broadly Stable in August, with Mostly Downside Surprises, CEEMEA Inflation Monitor](#) (Sep 23)
- [CEE-ing through the Vol, The EM Trader](#) (Sep 17)
- [CEE Trip Notes — Markets are Too Hawkish on Near-Term Rate Prospects, CEEMEA In Focus](#) (Sep 07)
- [Aggregate PMI Edges Down But Remains Slightly Expansionary; CAI Improves Modestly, CEEMEA Growth Monitor](#) (Sep 03)
- [CEEMEA Outlook — Cautiously Optimistic, CEEMEA Economics Analyst](#) (Sep 02)
- [South Africa — The Path Back to Investment Grade, CEEMEA Economics Analyst](#) (Sep 02)
- [Factoring War-Related Supply Shocks Into Our Russia Forecasts, CEEMEA Economics Analyst](#) (Jul 31)

**Credit**

- [An Update on AI-Related Debt Issuance, Global Credit Trader](#) (Sep 17)
- [2Q Credit Fundamentals: Mostly Steady, Global Credit Trader](#) (Sep 11)

Equities

- [India AI Complex, Part 1: 'AI Enablers' Hiding Beneath A Laggard Index, India Strategy](#) (Sep 17)
- [Policy and macro back to school, China Musings](#) (Sep 16)
- [Apple Suppliers: Dual Tailwinds from AI and Apple's Upgrade Cycle, Taiwan Strategy](#) (Sep 11)
- [Assessing Sensitivity of EM European Equities to Natural Gas Shocks, Global Markets Daily](#) (Sep 08)
- [2Q/1H26 Earnings Brochure: Where to find growth beyond AI?, China Musings](#) (Sep 07)
- [Into the home stretch, Asian Equity Perspectives](#) (Aug 30)
- [AI Changes The Game: Correction, Rotation, and Diversification, China Strategy](#) (Aug 09)
- [Investor FAQs on Large-Scale IPOs, China Musings](#) (Jul 28)

EM Asia ex-China

- [Renewed upward pressure from energy prices, *Asia-Pacific Inflation Monitor* \(24 Sep\)](#)
- [Korea – Tracking Corporate Cash and Financial-market Flows, *Asia Economics Analyst* \(Sep 20\)](#)
- [Exports and Beyond—Asia’s Broadening AI Dividend, *Asia Economics Analyst* \(Sep 14\)](#)
- [Still solid ahead of latest energy price uptick, *Asia-Pacific Growth Monitor* \(Sep 04\)](#)
- [India: Managing liquidity and FX: Buying time and flexibility, *Asia In Focus* \(Sep 04\)](#)
- [Korea’s Consumption: Young AI Boom Meets Aging Baby Boomers, *Asia Economics Analyst* \(Aug 28\)](#)
- [Indonesia: Can centralizing commodity exports plug the revenue and BOP gaps?, *Asia In Focus* \(Aug 19\)](#)
- [India: Food Inflation Risks from El Niño Offset by Softer Core, *Asia In Focus* \(Aug 17\)](#)
- [August MPC Preview—Hawkish Hold, But a Close Call, *Korea Views* \(Aug 17\)](#)
- [Macro mix still favors north Asia, *Asia Views* \(Aug 04\)](#)
- [Gen-AI in India: Jobs Crosswinds, Productivity Tailwinds, *Asia Economics Analyst* \(Jul 28\)](#)

Commodities

- [Don’t Count on a Super El Niño to Ease European Energy Risks, *Global Markets Daily* \(Sep 23\)](#)
- [Copper, Silver, PGMs: Tariff Uncertainty Likely to Persist; Tariff Risk Builds Inventories, *Commodity Analyst* \(Sep 23\)](#)
- [China Crude Imports Will Likely Remain Low For Now, *Oil Analyst* \(Sep 22\)](#)
- [Gastech Sentiment Bullish Near-Term LNG Prices, *Natural Gas Comment* \(Sep 20\)](#)
- [Fed Hikes to Slow, Rather than Derail, the Gold Rally, *Precious Analyst* \(Sep 18\)](#)
- [Hormuz Delays Tighten Prompt TTF, But Incremental US Supply Softens The Back, *Natural Gas Analyst* \(Sep 10\)](#)
- [Ongoing Disruptions, More Adaptation: Nudging Up Our Price Forecast, *Oil Analyst* \(Sep 07\)](#)
- [Higher Barriers to Trade, Lower Barriers to Shocks: Hormuz, Black Sea and a Super El Niño, *Agriculture Analyst* \(Sep 07\)](#)
- [Super El Niño Poses Risk to Concentrated Sugar Market: What to Watch, *Agriculture Analyst* \(Sep 02\)](#)
- [Higher Product Margins for Longer on Higher Outages and Lower Stocks, *Oil Analyst* \(Aug 29\)](#)
- [How Much Oil Is the Gulf Exporting?, *Oil Comment* \(Aug 27\)](#)
- [Delayed Hormuz Normalization Forces Price-Driven Fix, *Natural Gas Comment* \(Aug 23\)](#)
- [Running Hard or Hardly Running: Effect of Refinery Outages on Runs and Margins, *Oil Analyst* \(Aug 20\)](#)
- [Diesel, Not Crude, Remains the Cleaner Geopolitical Hedge, *Global Markets Daily* \(Aug 13\)](#)
- [Biofuels Primer: Why Crop Prices Increasingly Follow Fuel, *Agriculture Analyst* \(Aug 11\)](#)
- [The Volatility Arbiter: How China Policy Shapes Global Commodity Risk, *Commodity Analyst* \(Aug 03\)](#)

EM Spotlight: AI Impacts on EM

This section provides one-page summaries of recent research from our teams on the impact of the global AI investment boom on EM (primarily on EM Asia). For those reading online, links are provided to the full documents on our GS research portal.

In [“The AI investment boom’s Asia spillovers”](#), we trace the impact of surging tech capital investment on the region. Exports continue to drive substantial growth for Asian economies in the tech supply chain, and we also are beginning to observe spillovers into domestic investment and government spending.

The varying exposures to AI investment are driving large divergence in market outcomes; [“AI Haves vs. Have-Nots Drive Divergence in Asian FX”](#) reviews this impact in the currency markets. Korea is an AI winner but its aging population may constrain consumption growth ([“Korea’s Consumption: Young AI Boom Meets Aging Baby Boomers”](#)), while India is perceived as “short AI” but could still see benefits in some sectors of the economy ([“Gen-AI in India: Jobs Crosswinds, Productivity Tailwinds”](#)).

The AI investment boom's Asia spillovers

The AI investment boom's Asia spillovers

- Investment to train and operate artificial intelligence models continues to grow rapidly, with capex from the top 5 US hyperscalers (mostly in data centers/'compute') currently expected to be \$750bn for 2026 (+80% yoy) and global investment likely to be on the order of twice that amount.
- US (and global) data center investment has large spillovers to several Asian economies. Roughly 60–70% of data center capex consists of AI servers, storage, and networking equipment almost entirely manufactured in Asia.
- International trade data do not allow for a clean delineation between AI- and non-AI related tech investment. However, the *increase* in Asian exports of related electronic goods to the United States from 2022 (the year leading up to the release of ChatGPT) to early 2026 has been over \$200bn annualized.
- We estimate tech-related exports contributed 5.9pp to real GDP growth in Taiwan—which dominates high-end logic chip production and AI server manufacturing—last year, a record. We expect a boost of 4.5pp in 2026 (assuming still-rapid, but decelerating, AI investment growth). Comparable figures for South Korea—the dominant supplier of cutting-edge memory chips—are 0.8pp and 1.0pp. Other economies including Malaysia, Singapore, Thailand, and Vietnam play smaller but meaningful roles in these segments and/or significant ones elsewhere in the supply chain e.g. assembly, testing, and packaging of chips. In these other economies, the tech sector's boost to 2025 growth is strong (up to ~3pp) but generally still within the range of past tech manufacturing cycles.
- The AI boom is also boosting current account balances across Asian tech exporters (which are generally in surplus, but face meaningful headwinds from higher energy prices). In Taiwan and Korea, we think growth in tech exports will outweigh the impact of higher energy prices on the current account, even in relatively adverse scenarios.
- Potential downsides from the AI investment boom for Asian economies include more disparity in growth across sectors ("K-shaped" recoveries with limited employment spillovers), higher volatility of growth, and possible negative impacts on services exports, which we intend to explore in separate work.

AI Haves vs. Have-Nots Drive Divergence in Asian FX

AI Haves vs. Have-Nots
Drive Divergence in Asian
FX

- Asian FX performance this year has been driven by exposure to the AI and tech investment cycle. Currencies linked to semiconductors and tech exports, including the KRW, TWD, SGD and MYR, have outperformed their higher-yielding but less tech-exposed peers.
- The KRW has staged a remarkable turnaround from Asia's worst-performing currency in H1 to become the best-performing year-to-date. As foreign equity outflows have moderated, Korea's record current account surplus has re-emerged as the dominant driver of the currency.
- China's softer domestic growth backdrop has not prevented further CNY strength. A record trade surplus, strong export competitiveness and an undervalued currency continue to support our constructive view on the CNY.
- Taiwan, Malaysia and Singapore remain key beneficiaries of AI-related demand. Strong export growth, resilient external balances and continued investment in technology supply chains should keep their currencies relatively well-supported.
- By contrast, we remain cautious on the IDR, PHP and INR. Narrowing rate differentials, persistent inflation and current-account challenges are likely to leave these currencies lagging the region's tech-linked outperformers.

Korea's Consumption: Young AI Boom Meets Aging Baby Boomers

Korea's Consumption:
Young AI Boom Meets
Aging Baby Boomers

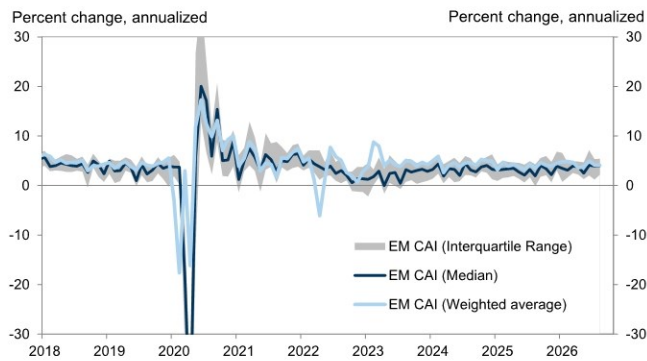
- AI is clearly supporting Korea's growth, but the pass-through to consumption is unlikely to be straightforward. The boom has lifted exports and capex and could support households through KRW appreciation, stronger fiscal revenues, and income gains. Still, the timing and scale of these spillovers remain uncertain, given multiple transmission channels and Korea's macro and structural constraints.
- Demographics remain the key structural constraint. Korea's post-war baby boomers are entering retirement just as the fertility rate remains below 1, putting sustained upward pressure on the dependency ratio. The UN projects Korea's total dependency ratio to rise by 1.5pp per year over the next decade—the fastest pace among 70 large and mid-sized economies, and even above Japan's 1.3pp peak during 2000-2015.
- We expect aging to weigh more heavily on consumption in Korea than elsewhere in the region. The main channel is Korea's unusually high elderly saving rate, reinforced by household balance sheets that are light on liquid financial assets and heavy on illiquid non-financial assets. We estimate that a 1pp rise in the dependency ratio lowers real private consumption growth by 10-17bp in Korea, compared with a 3bp average across major economies under our coverage. A bottom-up simulation using age-specific saving behavior across age groups points in the same direction, implying a 15bp annual rise in the household saving rate over the next decade.
- Korea may need more time—and better transmission mechanisms—to turn AI-driven growth into sustained consumption gains. KRW stabilization would help ease inflation pressures and limit upside risks to real interest rates. Fiscal policy should save part of the windfall and redirect it toward productivity-enhancing investment, while capital-market reforms and broader use of home-equity tools such as reverse mortgages could ease retiree cash-flow constraints. Monetary policy will likely need to remain restrictive but any further tightening is likely to be measured after the preemptive hike in August, given high uncertainty around the timing and scale of AI spillovers to consumption and the need to coordinate closely with fiscal and financial policy.

Gen-AI in India: Jobs Crosswinds, Productivity Tailwinds

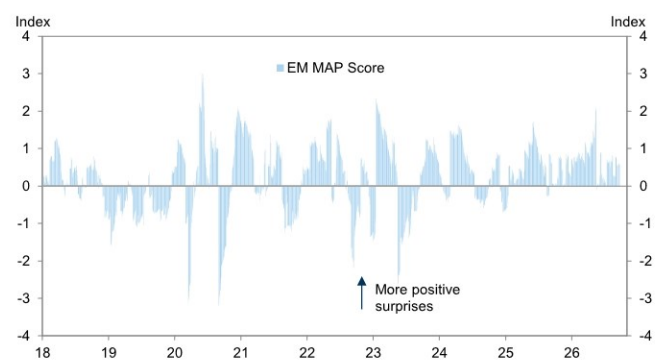
Gen-AI in India: Jobs
Crosswinds, Productivity
Tailwinds

- Generative Artificial Intelligence (Gen-AI) is likely to have wide-ranging effects on the macroeconomy. In our baseline view, we see the adoption of Gen-AI as a medium-term positive for India's growth outlook, even as the labour market effects are likely to be uneven.
- **Productivity gains could be meaningful, but timing is difficult to predict:** Our baseline suggests Gen-AI adoption could lift annual labour-productivity growth by around 0.4pp over a 10-year period, with a wider range of 0.1pp to 0.8pp depending on the complexity of tasks that it is able to perform. Knowledge-intensive services i.e. healthcare, education, media, parts of financial and professional services look best placed to benefit.
- **Sequencing of adoption will matter.** The main productivity upside is likely to come from broad-based deployment across firms. If deployment of labour-augmenting Gen-AI is prioritized before substitution-intensive deployment, productivity gains would likely broaden before labour-market disruption becomes more visible.
- **Global capability centre (GCC) resilience may cushion substitution risks to routine business services.** In our view, while routine IT-BPS functions face substitution risk, aggregate tech sector employment (around 2% of non-agricultural employment), services exports, and GCC expansion remain resilient, as of now. We find that headcount rationalization has been concentrated in the top 6 IT services firms (net employment reduction around 64k out of 1.7mn), while the rest of the technology services sector (including the GCCs) have added around 0.7mn headcount to reach 4.4mn over the last three years.
- **More complement than substitute:** Extending our global team's methodology, we estimate that Gen-AI could perform 9-17% of the tasks currently undertaken by India's non-agricultural workforce, depending on assumptions about the level of task complexity that it can perform. We further classify occupations by the share of task content exposed to Gen-AI: we estimate 8-12% of non-agricultural employment is at risk of substitution, while 42-48% of non-agricultural employment is likely to be complemented, with the balance remaining largely unaffected.
- **Gen-AI likely to reshape the composition of occupations:** Based on occupation-level analysis, we estimate employment declines are likely to be concentrated in occupations like routine clerical support, professional and technician. Meanwhile, routine-physical occupations, followed by craft and trade-related workers and machine operators, may see an increase in employment, as physical, manual and interpersonal tasks remain difficult to automate.
- **Exposure is concentrated in services:** Healthcare, education, financial and professional services appear more exposed to AI-related augmentation through diagnostics and data analytics, while IT-enabled business-process services (BPS) and postal & telecom services face greater substitution risk given their concentration in repetitive, codifiable tasks. Manufacturing is less directly affected given the more physical task mix.

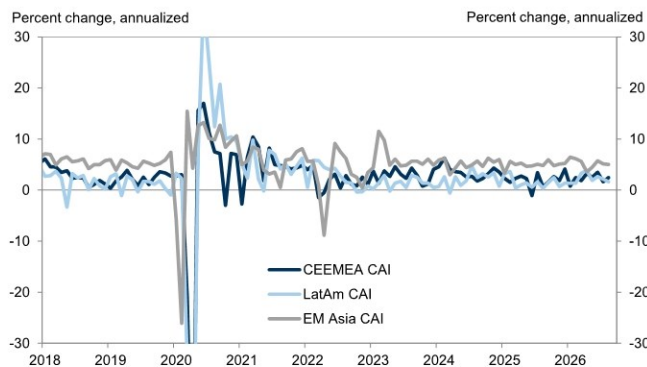
EM Chartpack

Exhibit 13: EM Current Activity Indicator

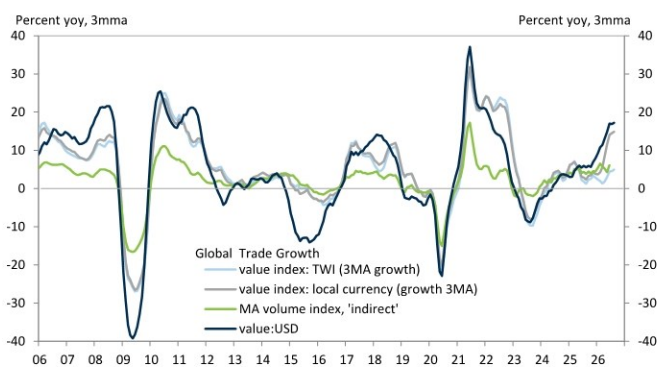
Source: Goldman Sachs Global Investment Research

Exhibit 14: EM Growth Surprises

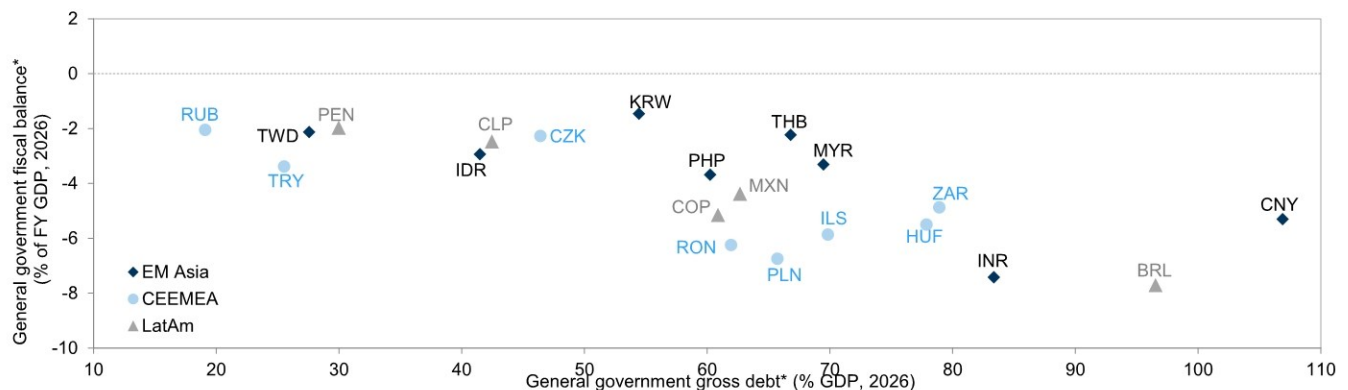
Source: Goldman Sachs Global Investment Research

Exhibit 15: EM Regional CAIs

Source: Goldman Sachs Global Investment Research

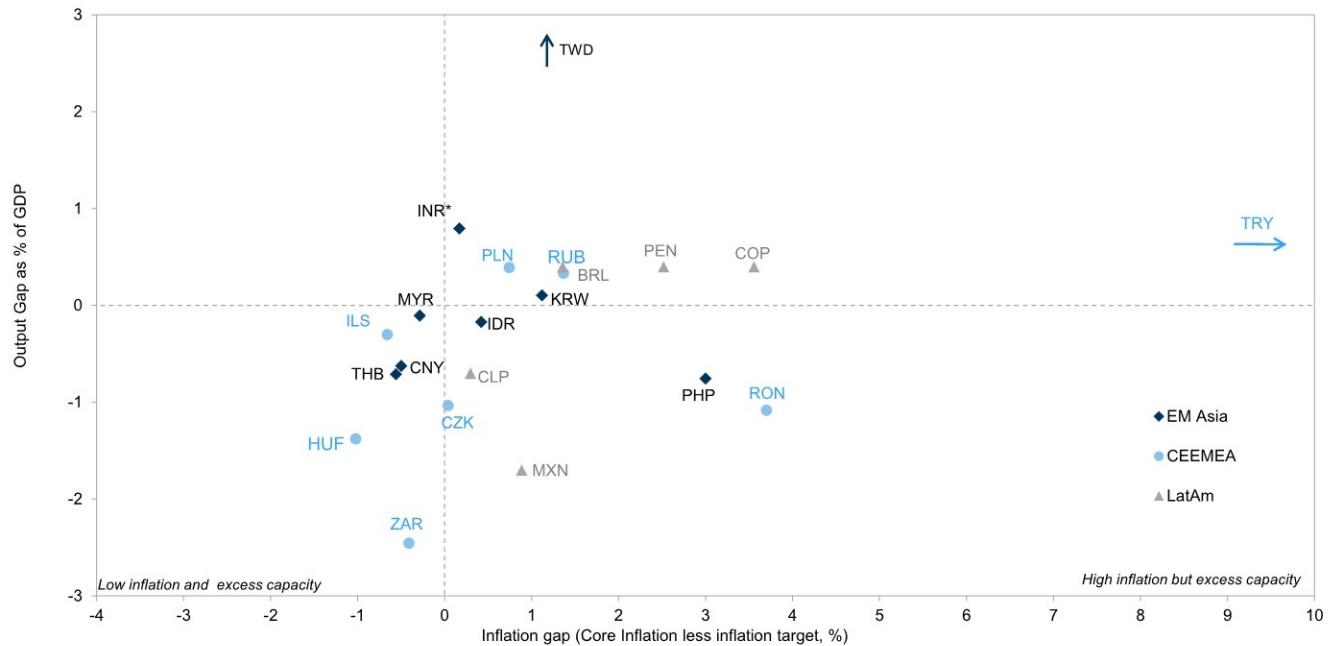
Exhibit 16: Global Trade Growth

Source: CPB World Trade Monitor, Haver Analytics, Goldman Sachs Global Investment Research

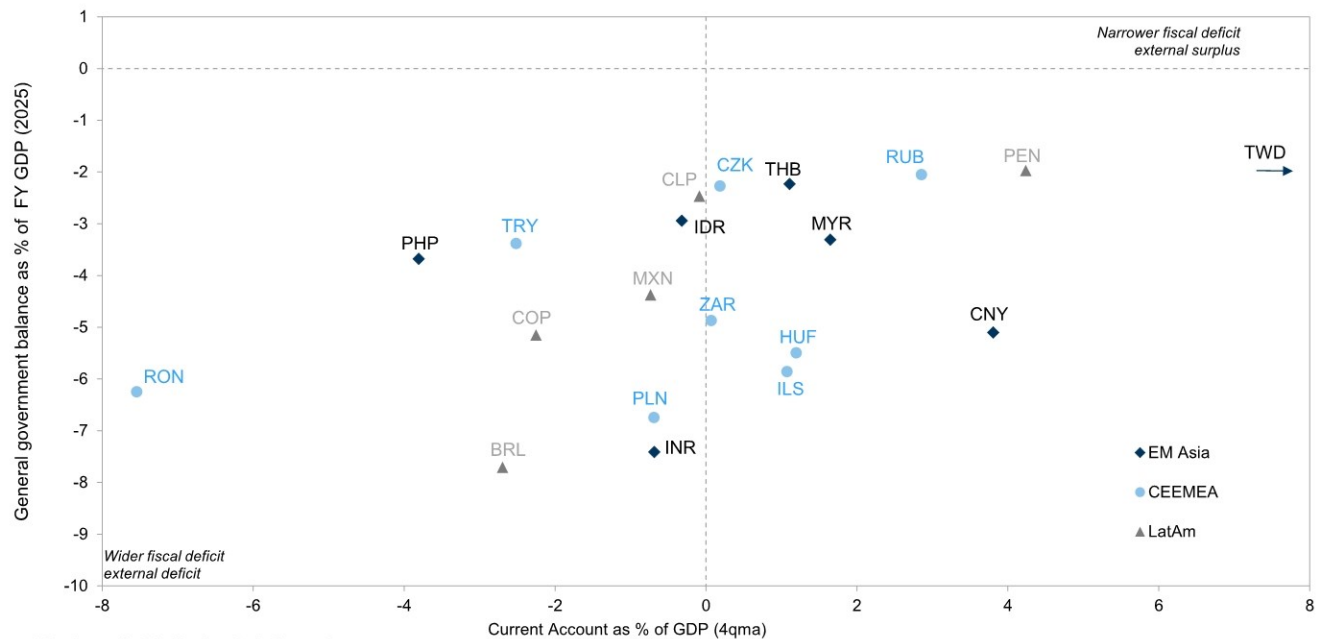
Exhibit 17: EM Government Debt/Deficits

*General government fiscal balance and general government debt based on October IMF estimations;
China general government balance based on GS estimates of China effective on-budget fiscal balance and government special bond issuance in 2026

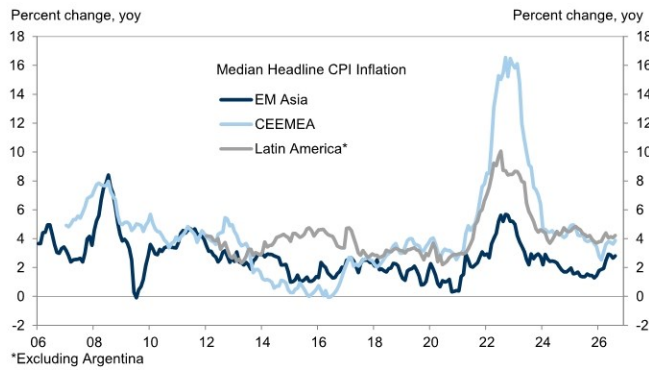
Source: IMF, Goldman Sachs Global Investment Research

Exhibit 18: EM Output Gap vs. Inflation Gap

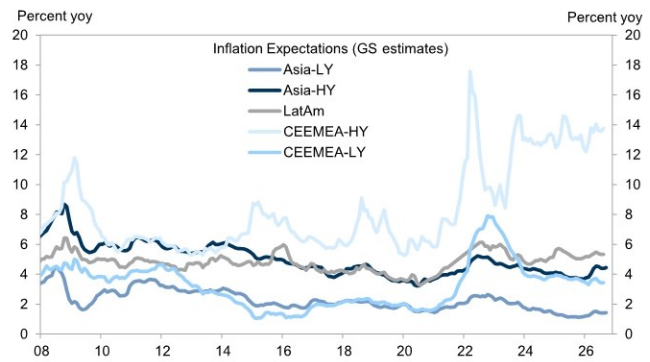
Source: Haver Analytics, Goldman Sachs Global Investment Research

Exhibit 19: EM Fiscal vs. External Balance

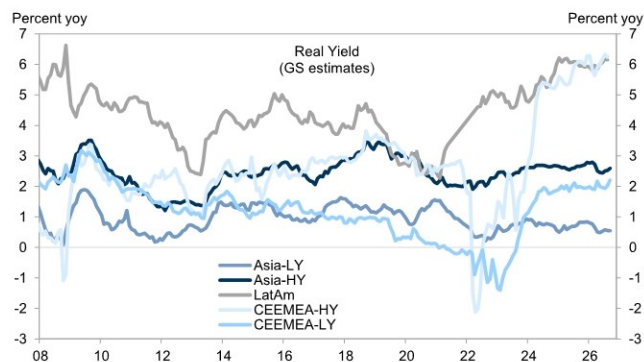
Source: Haver Analytics, Goldman Sachs Global Investment Research

Exhibit 20: EM Inflation by Region

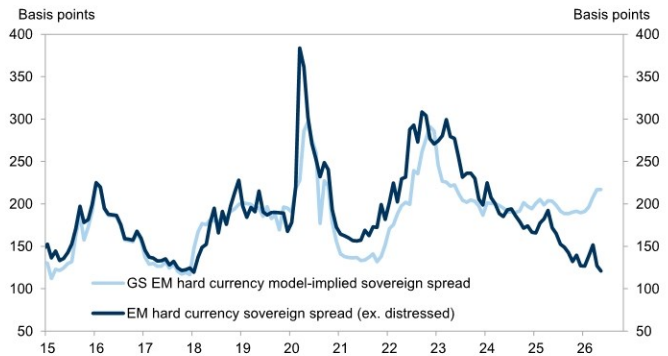
Source: Haver Analytics, Goldman Sachs Global Investment Research

Exhibit 21: EM Inflation Expectations

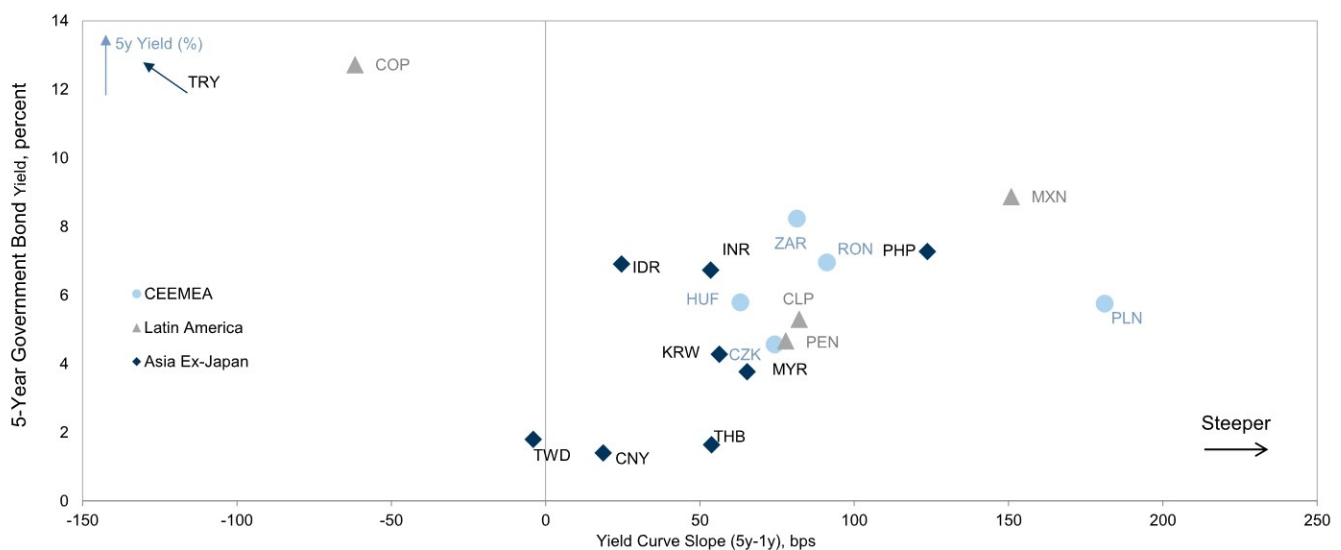
Source: Goldman Sachs Global Investment Research

Exhibit 22: EM Real Yields

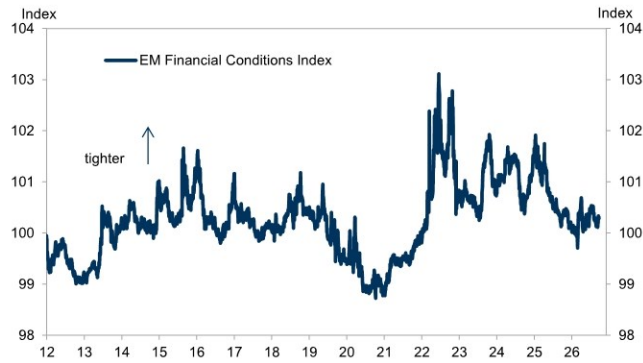
Source: Goldman Sachs Global Investment Research

Exhibit 23: Sovereign Bond Spreads

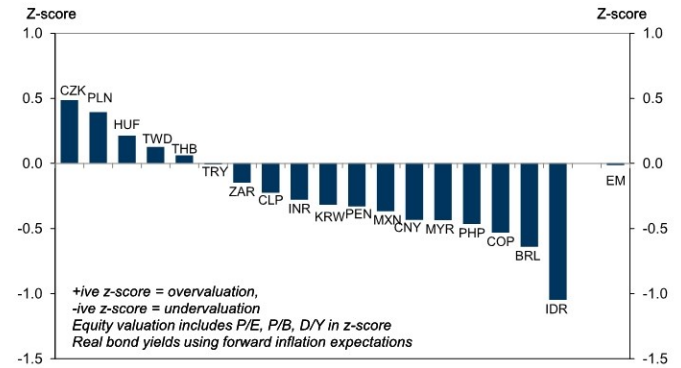
Source: Goldman Sachs Global Investment Research, Datastream

Exhibit 24: EM Yield Curves

Source: Goldman Sachs Global Investment Research

Exhibit 25: EM Financial Conditions

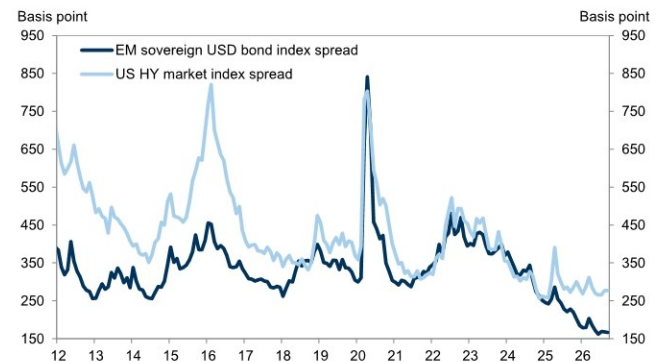
Source: Goldman Sachs Global Investment Research

Exhibit 26: EM Cross Asset Valuation

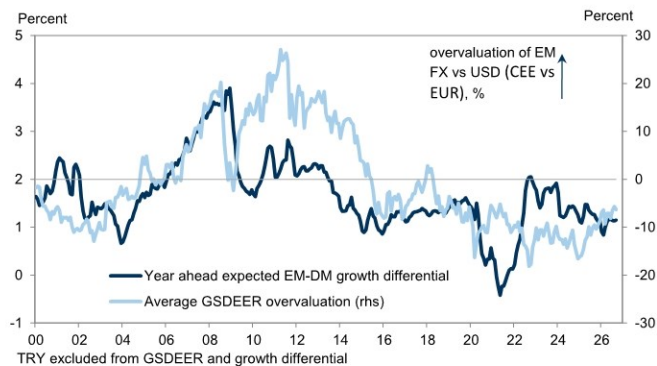
Source: FactSet, Datastream, Goldman Sachs Global Investment Research

Exhibit 27: EM Swap Rates

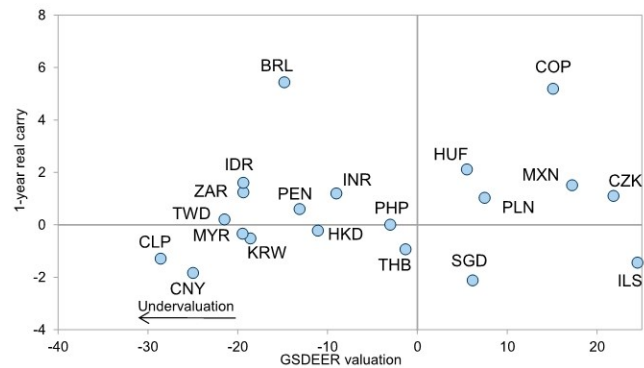
Source: Goldman Sachs Global Investment Research

Exhibit 28: High-Yield Credit Spreads

Source: Goldman Sachs Global Investment Research, Datastream, ICE-BAML

Exhibit 29: EM FX Valuation

Source: Consensus Economics, Goldman Sachs Global Investment Research

Exhibit 30: EM FX Carry vs. Valuation

Source: Consensus Economics, Goldman Sachs Global Investment Research

Goldman Sachs EM Macro Research Team



ECONOMICS

Latin America

Alberto Ramos
Sergio Armella
Santiago Tellez
Panteleymon Semka

CEEMEA

Kevin Daly
Clemens Grafe
Andrew Matheny
Farouk Soussa
Basak Edizgil
Johan Allen
Ludovica Ambrosino
Alessa Abraham

Asia ex-Japan

Andrew Tilton
Goohoon Kwon
Santanu Sengupta
Hui Shan
Danny Suwanapruti
Irene Choi
Lisheng Wang
Xinquan Chen
Yuting Yang
Arjun Varma
Chris Poh
Chelsea Song



MARKETS

EM Strategy

Kamakshya Trivedi
Sunil Koul
Teresa Alves
Victor Engel
Mambuna Njie
Shuyi Fang

Equity Strategy (Asia ex-Japan)

Timothy Moe
Kinger Lau
Si Fu
Alvin So
John Kwon
Amorita Goel
Kevin Wang

Commodities

Samantha Dart
Daan Struyven
Yulia Grigsby
Lina Thomas
Aurelia Waltham
Hongcen Wei
Lavinia Forcellese
Laura Cyr
Alexandra Paulus

Disclosure Appendix

Reg AC

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Contributing Authors: Andrew Tilton Goldman Sachs (Asia) L.L.C., Kamakshya Trivedi Goldman Sachs International, Kevin Daly Goldman Sachs International, Clemens Grafe Goldman Sachs International, Sunil Koul Goldman Sachs International, Goohoon Kwon, CFA Goldman Sachs (Asia) L.L.C., Andrew Matheny Goldman Sachs International, Alberto Ramos Goldman Sachs & Co. LLC, Santanu Sengupta Goldman Sachs India SPL, Hui Shan Goldman Sachs (Asia) L.L.C., Farouk Soussa Goldman Sachs International, Danny Suwanapruti Goldman Sachs (Singapore) Pte, Alessa Abraham Goldman Sachs International.

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